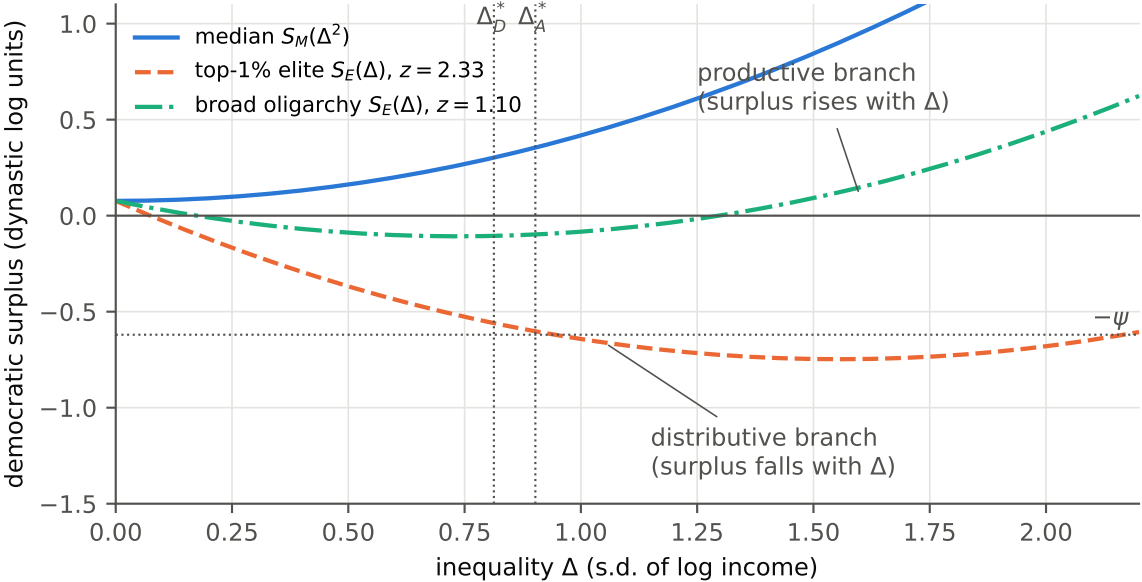
median $S_M(\Delta^2)$
top-1% elite $S_E(\Delta)$, $z = 2.33$
broad oligarchy $S_E(\Delta)$, $z = 1.10$
Δ_D^*
Δ_A^*
productive branch
(surplus rises with Δ)
distributive branch
(surplus falls with Δ)
$-\psi$
democratic surplus (dynastic log units)
inequality Δ (s.d. of log income)
1.0
0.5
0.0
−0.5
−1.0
−1.5
0.00
0.25
0.50
0.75
1.00
1.25
1.50
1.75
2.00